

INTERNATIONAL ECONOMIC REVIEW
University of Pennsylvania - Department of Economics
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April 13th, 2026

Professor Isaac Gross
Department of Economics
Monash University
AUSTRALIA (AU)

MS # 31540 “NIMBYism and the Housing Supply” with David Chivers

Dear Professor Gross,

Thank you for submitting the above paper to the *International Economic Review* for editorial review. I have now received two informative referee reports from experts in the field of quantitative macroeconomics and real estate economics who have both worked on life cycle models of housing and house price dynamics. In addition, I have been in contact with a third referee and have looked at the paper myself. Let me first apologize for the unacceptably long delay in giving you an answer, as the paper has become the second oldest in my stack. I received the two reports in reasonable time, but the third report is now so delayed that I decided to proceed with a decision without this report, given that it would not have changed my editorial decision. In hindsight, I should have made this decision more expeditiously.

I am afraid the message I must convey is not good. Both referees are skeptical about the suitability of the paper for the *Review* and recommend I should reject the current version of the paper for publication (although referee 3 leaves the door open for a fundamental revision of the paper to change this assessment). After reading the manuscript myself alongside the reports and cover letters I do not necessarily agree with all detailed comments the referees offer, but I do fully share their overall evaluation and final assessment. Therefore, I must conclude that we should not proceed further with your paper at the *Review*.

Let me briefly summarize the main reactions the referees have about the paper and my interpretation of them. On the positive side, both referees like the basic idea and premise of the paper. So, do I.

On the problematic side, they both identify three sets of fundamental concerns about the execution of the paper, and at least the first concern cannot be addressed in a reasonably sized revision. I therefore do not see a clear path towards publication of the paper in the *IER* and consequently must reject the paper in our journal.

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First, as referees 1 and 2 (major comment 1 in report 1, third paragraph of the main comments in the report) I am very concerned about a subset of assumptions made in the model. For me, the most important and problematic one concerns house price expectations (which are of course crucial for forward-looking voting decisions, the core premise of the paper). The assumption of random-walk style house prices might be empirically plausible (although I am not sure), but I do believe the paper would have to demonstrate that the equilibrium price process does indeed follow a random walk. Furthermore, if the house price follows that process, then this is a model with aggregate risk, and the cross-sectional distribution of across household characteristics becomes a state variable (with all the computational problems associated with this feature).

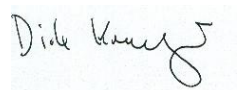
Second referee 1, in my view correctly, criticizes the fact that little is done to validate model predictions or the main mechanism empirically. See Major comment 2, and here especially item a. in the report.

Third, both referees raise fundamental concerns about the exposition of the paper (Major comment 3 in report 1 as well as Minor comments of referee 3, especially with respect to Model and calibration, and here especially the last bullet point) that makes it very hard to follow what exactly is done in the paper.

I fully acknowledge that the last two concerns (empirical model validation and support for the mechanism, exposition of the paper) could potentially be addressed in what would amount to a significant revision of the paper (although the success of such a revision is highly uncertain, in my judgment). Addressing the first concern would require a fundamental change in the modelling strategy, and, thus, a revision so large that I believe you are better off if I clear the path for the paper to be submitted at an alternative outlet.

To conclude, I thank you again for letting us review your work. I do regret that the news I must convey is not positive and hope you find the comments of the referees useful for your future work on this topic. Also, please keep in mind that the *IER* publishes less than ten percent of all submissions and that, consequently, many good papers are not accepted.

Sincerely yours,



Dirk Krueger
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